



Bill Number: S.B. 1641

Payne Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Removes the requirement for the Department of Health Services (DHS) to conduct an annual review of market conditions to determine whether consumers would benefit from the issuance of additional marijuana producer licenses.
2. Allows, beginning in 2032, DHS to issue additional marijuana producer licenses.

PAYNE FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1641
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Subject to the requirements of article IV, part 1,
3 section 1, Constitution of Arizona, section 36-2850, Arizona Revised
4 Statutes, is amended to read:

5 36-2850. Definitions

6 In this chapter, unless the context requires otherwise:

7 1. "Advertise," "advertisement" and "advertising" mean any public
8 communication in any medium that offers or solicits a commercial
9 transaction involving the sale, purchase or delivery of marijuana or
10 marijuana products.

11 2. "Child-resistant" means designed or constructed to be
12 significantly difficult for children under five years of age to open, and
13 not difficult for normal adults to use properly.

14 3. "Consume," "consuming" and "consumption" mean the act of
15 ingesting, inhaling or otherwise introducing marijuana into the human
16 body.

17 4. "Consumer" means an individual who is at least twenty-one years
18 of age and who purchases marijuana or marijuana products.

19 5. "Cultivate" and "cultivation" mean to propagate, breed, grow,
20 prepare and package marijuana.

21 6. "Deliver" and "delivery" mean the transportation, transfer or
22 provision of marijuana or marijuana products to a consumer at a location
23 other than the designated retail location of a marijuana establishment.

24 7. "Department" means the department of health services or its
25 successor agency.

26 8. "Designated caregiver" has the same meaning prescribed in
27 section 36-2801.

1 9. "Dual licensee" means an entity that holds both a nonprofit
2 medical marijuana dispensary registration and a marijuana establishment
3 license.

4 10. "Early applicant" means either of the following:
5 (a) An entity seeking to operate a marijuana establishment in a
6 county with fewer than two registered nonprofit medical marijuana
7 dispensaries.

8 (b) A nonprofit medical marijuana dispensary that is registered and
9 in good standing with the department.

10 11. "Employee," "employer," "health care facility," and "places of
11 employment" have the same meanings prescribed in ~~the smoke-free Arizona~~
12 ~~act~~, section 36-601.01.

13 12. "Excluded felony offense" has the same meaning prescribed in
14 section 36-2801.

15 13. "Good standing" means that a nonprofit medical marijuana
16 dispensary is not the subject of a pending notice of intent to revoke
17 issued by the department.

18 14. "Independent third-party laboratory" has the same meaning
19 prescribed in section 36-2801.

20 15. "Industrial hemp" has the same meaning prescribed in section
21 3-311.

22 16. "Licensee" means a person that obtains a license pursuant to
23 section 36-2854.

24 17. "Locality" means a city, town or county.

25 18. "Manufacture" and "manufacturing" mean to compound, blend,
26 extract, infuse or otherwise make or prepare a marijuana product.

27 19. "Marijuana":
28 (a) Means all parts of the plant of the genus cannabis, whether
29 growing or not, as well as the seeds from the plant, the resin extracted
30 from any part of the plant, and every compound, manufacture, salt,
31 derivative, mixture or preparation of the plant or its seeds or resin.

32 (b) Includes cannabis as defined in 13-3401.

33 (c) Does not include industrial hemp, the fiber produced from the
34 stalks of the plant of the genus cannabis, oil or cake made from the seeds
35 of the plant, sterilized seeds of the plant that are incapable of
36 germination, or the weight of any other ingredient combined with marijuana
37 to prepare topical or oral administrations, food, drink or other products.

38 20. "Marijuana concentrate":
39 (a) Means resin extracted from any part of a plant of the genus
40 cannabis and every compound, manufacture, salt, derivative, mixture or
41 preparation of that resin or tetrahydrocannabinol.

42 (b) Does not include industrial hemp or the weight of any other
43 ingredient combined with cannabis to prepare topical or oral
44 administrations, food, drink or other products.

45 21. "Marijuana establishment" means an entity that is licensed by
46 the department to operate all of the following:

1 (a) A single retail location at which the licensee may sell
2 marijuana and marijuana products to consumers, cultivate marijuana and
3 manufacture marijuana products.

4 (b) A single off-site cultivation location at which the licensee
5 may cultivate marijuana, process marijuana and manufacture marijuana
6 products, but from which marijuana and marijuana products may not be
7 transferred or sold to consumers.

8 (c) A single off-site location at which the licensee may
9 manufacture marijuana products and package and store marijuana and
10 marijuana products, but from which marijuana and marijuana products may
11 not be transferred or sold to consumers.

12 22. "Marijuana facility agent" means a principal officer, board
13 member or employee of a marijuana establishment or marijuana testing
14 facility who is at least twenty-one years of age and who has not been
15 convicted of an excluded felony offense.

16 23. "MARIJUANA PRODUCER" MEANS AN ENTITY THAT IS LICENSED BY THE
17 DEPARTMENT TO OPERATE A SINGLE LOCATION AT WHICH THE LICENSEE MAY
18 CULTIVATE MARIJUANA, PROCESS MARIJUANA, MANUFACTURE MARIJUANA PRODUCTS AND
19 PACKAGE AND STORE MARIJUANA AND MARIJUANA PRODUCTS BUT FROM WHICH
20 MARIJUANA AND MARIJUANA PRODUCTS MAY NOT BE TRANSFERRED OR SOLD TO
21 CONSUMERS.

22 ~~23.~~ 24. "Marijuana ~~products~~ PRODUCT" means marijuana concentrate
23 and ~~products~~ ANY PRODUCT that ~~are~~ IS composed of marijuana and other
24 ingredients and that ~~are~~ IS intended for use or consumption, including
25 edible products, ointments and tinctures.

26 ~~24.~~ 25. "Marijuana testing facility" means the department or
27 another entity that is licensed by the department to analyze the potency
28 of marijuana and test marijuana for harmful contaminants.

29 ~~25.~~ 26. "Nonprofit medical marijuana dispensary" has the same
30 meaning prescribed in section 36-2801.

31 ~~26.~~ 27. "Nonprofit medical marijuana dispensary agent" has the
32 same meaning prescribed in section 36-2801.

33 ~~27.~~ 28. "Open space" means a public park, public sidewalk, public
34 walkway or public pedestrian thoroughfare.

35 ~~28.~~ 29. "Process" and "processing" mean to harvest, dry, cure,
36 trim or separate parts of the marijuana plant.

37 ~~29.~~ 30. "Public place" has the same meaning prescribed in section
38 36-601.01.

39 ~~30.~~ 31. "Qualifying patient" has the same meaning prescribed in
40 section 36-2801.

41 ~~31.~~ 32. "Smoke" means to inhale, exhale, burn, carry or possess
42 any lighted marijuana or lighted marijuana products, whether natural or
43 synthetic.

44 Sec. 2. Subject to the requirements of article IV, part 1, section
45 1, Constitution of Arizona, section 36-2854, Arizona Revised Statutes, is
46 amended to read:

1 36-2854. Rules; licensing; early applicants; fees; civil
2 penalty; legal counsel

3 A. The department shall adopt rules to implement and enforce this
4 chapter and regulate marijuana, marijuana products, marijuana
5 establishments, MARIJUANA PRODUCERS and marijuana testing
6 facilities. Those rules shall include requirements for:

7 1. Licensing marijuana establishments, MARIJUANA PRODUCERS and
8 marijuana testing facilities, including conducting investigations and
9 background checks to determine eligibility for licensing for marijuana
10 establishment, MARIJUANA PRODUCER and marijuana testing facility
11 applicants, except that:

12 (a) An application for a marijuana establishment license, MARIJUANA
13 PRODUCER LICENSE or marijuana testing facility license may not require the
14 disclosure of the identity of any person who is entitled to a share of
15 less than ten percent of the profits of an applicant that is a publicly
16 traded corporation.

17 (b) The department may not issue more than one marijuana
18 establishment license for every ten pharmacies that have registered under
19 section 32-1929, that have obtained a pharmacy permit from the Arizona
20 board of pharmacy and that operate within this state.

21 (c) Notwithstanding subdivision (b) of this paragraph, the
22 department may issue a marijuana establishment license to not more than
23 two marijuana establishments per county that contains no registered
24 nonprofit medical marijuana dispensaries, or one marijuana establishment
25 license per county that contains one registered nonprofit medical
26 marijuana dispensary. Any license issued pursuant to this subdivision
27 shall be for a fixed county and may not be relocated outside of that
28 county.

29 (d) The department shall accept applications for marijuana
30 establishment licenses from early applicants beginning January 19, 2021
31 through March 9, 2021. Not later than sixty days after receiving an
32 application pursuant to this subdivision, the department shall issue a
33 marijuana establishment license to each qualified early applicant. If the
34 department has not adopted final rules pursuant to this section at the
35 time marijuana establishment licenses are issued pursuant to this
36 subdivision, licensees shall comply with the rules adopted by the
37 department to implement chapter 28.1 of this title except those that are
38 inconsistent with this chapter.

39 (e) After issuing marijuana establishment licenses to qualified
40 early applicants, the department shall issue marijuana establishment
41 licenses available under subdivisions (b) and (c) of this paragraph by
42 random selection and according to rules adopted pursuant to this section.
43 At least sixty days before any random selection, the department shall
44 prominently publicize the random selection on its website and through
45 other means of general distribution intended to reach as many interested
46 parties as possible and shall provide notice through an email notification
47 system to which interested parties can subscribe.

1 (f) Notwithstanding subdivisions (b) and (c) of this paragraph, and
2 not later than six months after the department adopts final rules to
3 implement a social equity ownership program pursuant to paragraph 9 of
4 this subsection, the department shall issue twenty-six additional
5 marijuana establishment licenses to entities that are qualified pursuant
6 to the social equity ownership program.

7 (g) BEGINNING JANUARY 1, 2029, THE DEPARTMENT SHALL ACCEPT
8 APPLICATIONS FOR MARIJUANA PRODUCER LICENSES. UNTIL JANUARY 1, 2032, THE
9 DEPARTMENT SHALL ACCEPT APPLICATIONS ONLY FROM ENTITIES THAT CONTRACTED ON
10 OR BEFORE JANUARY 1, 2026 WITH A MARIJUANA ESTABLISHMENT, A NONPROFIT
11 MEDICAL MARIJUANA DISPENSARY OR A MANAGEMENT COMPANY FOR A MARIJUANA
12 ESTABLISHMENT OR A NONPROFIT MEDICAL MARIJUANA DISPENSARY TO HAVE A RIGHT
13 TO CULTIVATE MARIJUANA OR MANUFACTURE MARIJUANA PRODUCTS AND KEEP ALL OR
14 SUBSTANTIALLY ALL OF THE PROFITS GENERATED FROM THAT CULTIVATION. UNTIL
15 JANUARY 1, 2032, THE DEPARTMENT SHALL PROHIBIT THE TRANSFER OR SUBLEASE OF
16 MARIJUANA PRODUCER LICENSES AND PROHIBIT ENTITIES THAT LACK A MARIJUANA
17 PRODUCER LICENSE FROM CULTIVATING MARIJUANA OR MANUFACTURING MARIJUANA
18 PRODUCTS AT MARIJUANA PRODUCER SITES. BEGINNING IN ~~[2030]~~ [2032], THE
19 DEPARTMENT ~~[SHALL CONDUCT AN ANNUAL REVIEW OF MARKET CONDITIONS TO~~
20 ~~DETERMINE WHETHER CONSUMERS WOULD BENEFIT FROM THE ISSUANCE OF ADDITIONAL~~
21 ~~MARIJUANA PRODUCER LICENSES. IF MARKET CONDITIONS ARE SUCH THAT CONSUMERS~~
22 ~~WOULD BENEFIT FROM THE ISSUANCE OF ADDITIONAL MARIJUANA PRODUCER LICENSES,~~
23 ~~THE DEPARTMENT SHALL ISSUE AN APPROPRIATE NUMBER OF MARIJUANA PRODUCER~~
24 ~~LICENSES DURING THE YEAR FOLLOWING THE DEPARTMENT'S REVIEW]~~ [MAY ISSUE
25 ADDITIONAL MARIJUANA PRODUCER LICENSES]. UNLESS SPECIFICALLY IDENTIFIED IN
26 THIS CHAPTER, THE DEPARTMENT SHALL NOT IMPOSE ANY RESTRICTIONS OR
27 OBLIGATIONS ON MARIJUANA PRODUCERS THAT ARE NOT IMPOSED ON MARIJUANA
28 ESTABLISHMENTS.

29 ~~(g)~~ (h) Licenses issued by the department to marijuana
30 establishments, MARIJUANA PRODUCERS and marijuana testing facilities shall
31 be valid for a period of two years. A dual licensee's initial renewal
32 date, which will be the ongoing renewal date for both the dual licensee's
33 marijuana establishment license and nonprofit medical marijuana dispensary
34 registration, is the earlier of:

35 (i) The date of the marijuana establishment license renewal.

36 (ii) The date of the nonprofit medical marijuana dispensary
37 registration renewal.

38 ~~(h)~~ (i) The department may not issue a marijuana establishment,
39 MARIJUANA PRODUCER or marijuana testing facility license to an applicant
40 who has an ownership interest in an out-of-state marijuana establishment,
41 MARIJUANA PRODUCER or marijuana testing facility, or the other state's
42 equivalent, that has had its license revoked by the other state.

43 2. Licensing fees and renewal fees for marijuana establishments,
44 MARIJUANA PRODUCERS and marijuana testing facilities in amounts that are
45 reasonable and related to the actual cost of processing applications for
46 licenses and renewals and that do not exceed five times the fees

1 prescribed by the department to register or renew a nonprofit medical
2 marijuana dispensary.

3 3. The security of marijuana establishments, **MARIJUANA PRODUCERS**
4 and marijuana testing facilities.

5 4. Marijuana establishments **AND MARIJUANA PRODUCERS** to safely
6 cultivate, process and manufacture marijuana and marijuana products. The
7 department shall require licensees to procure, develop, acquire and
8 maintain a system to track marijuana and marijuana products at all points
9 of cultivation, manufacturing and sale, **AS APPLICABLE**. The system
10 developed and maintained pursuant to this paragraph shall:

11 (a) Ensure an accurate accounting and reporting of the production,
12 processing and sale of marijuana and marijuana products.

13 (b) Ensure compliance with rules adopted by the department.

14 (c) Be capable of tracking, at a minimum:

15 (i) The propagation of immature marijuana plants and the production
16 of marijuana by a marijuana establishment **OR MARIJUANA PRODUCER**.

17 (ii) The processing of marijuana and marijuana products by a
18 marijuana establishment **OR MARIJUANA PRODUCER**.

19 (iii) The sale and purchase of marijuana and marijuana products
20 between licensees.

21 (iv) The transfer of marijuana and marijuana products between
22 premises for which licenses have been issued.

23 (v) The disposal of marijuana waste.

24 (vi) The identity of the person making the entry in the system and
25 the time, date and location of each entry into the system, including any
26 corrections or changes to that information.

27 (vii) Any other information that the department determines is
28 reasonably necessary to accomplish the duties, functions and powers of the
29 department.

30 (d) Contain a transactional stamp to ensure accuracy, provide for
31 chain of custody of the information and foreclose tampering of the data,
32 human error or intentional misreporting.

33 5. Tracking, testing, labeling consistent with section 36-2854.01
34 and packaging marijuana and marijuana products, including requirements
35 that marijuana and marijuana products be:

36 (a) Sold to consumers in clearly and conspicuously labeled
37 containers that contain accurate warnings regarding the use of marijuana
38 or marijuana products.

39 (b) Placed in child-resistant packaging on exit from a marijuana
40 establishment.

41 6. Forms of government-issued identification that are acceptable by
42 a marijuana establishment verifying a consumer's age and procedures
43 related to verifying a consumer's age consistent with section 4-241.
44 Until the department adopts final rules related to verifying a consumer's
45 age, marijuana establishments shall comply with the proof of legal age
46 requirements prescribed in section 4-241.

1 7. The potency of edible marijuana products that may be sold to
2 consumers by marijuana establishments at reasonable levels on
3 consideration of industry standards, except that the rules:

4 (a) Shall limit the strength of edible marijuana products to not
5 more than ten milligrams of tetrahydrocannabinol per serving or one
6 hundred milligrams of tetrahydrocannabinol per package.

7 (b) Shall require that if a marijuana product contains more than
8 one serving, it must be delineated or scored into standard serving sizes
9 and homogenized to ensure uniform disbursement throughout the marijuana
10 product.

11 8. Ensuring the health, safety and training of employees of
12 marijuana establishments and marijuana testing facilities.

13 9. The creation and implementation of a social equity ownership
14 program to promote the ownership and operation of marijuana establishments
15 and marijuana testing facilities by individuals from communities
16 disproportionately impacted by the enforcement of previous marijuana laws.

17 10. Prohibiting a marijuana testing facility from having any direct
18 or indirect familial relationship with or financial ownership interest in
19 a marijuana establishment, **MARIJUANA PRODUCER** or related marijuana
20 business entity or management company. The rules shall include
21 prohibiting a marijuana establishment **OR MARIJUANA PRODUCER** from having
22 any direct or indirect familial relationship with or financial ownership
23 interest in a marijuana testing facility or related marijuana business
24 entity or management company.

25 11. Requiring marijuana establishments to display in a conspicuous
26 location a sign that warns pregnant women about the potential dangers to
27 fetuses caused by smoking or ingesting marijuana while pregnant or to
28 infants while breastfeeding and the risk of being reported to the
29 department of child safety during pregnancy or at the birth of the child
30 by persons who are required to report. The rules shall include the
31 specific warning language that must be included on the sign. The cost and
32 display of the sign required by rule shall be borne by the marijuana
33 establishment.

34 B. The department may:

35 1. Subject to title 41, chapter 6, article 10, deny any application
36 submitted or deny, suspend or revoke, in whole or in part, any
37 registration or license issued under this chapter if the registered or
38 licensed party or an officer, agent or employee of the registered or
39 licensed party does any of the following:

40 (a) Violates this chapter or any rule adopted pursuant to this
41 chapter.

42 (b) Has been, is or may continue to be in substantial violation of
43 the requirements for licensing or registration and, as a result, the
44 health or safety of the general public is in immediate danger.

45 2. Subject to title 41, chapter 6, article 10, and unless another
46 penalty is provided elsewhere in this chapter, assess a civil penalty
47 against a person that violates this chapter or any rule adopted pursuant

1 to this chapter in an amount not to exceed \$2,000 for each violation.
2 Each day a violation occurs constitutes a separate violation. In
3 determining the amount of a civil penalty assessed against a person, the
4 department shall consider all of the factors set forth in section 36-2816,
5 subsection H. All civil penalties collected by the department pursuant to
6 this paragraph shall be deposited in the smart and safe Arizona fund
7 established by section 36-2856.

8 3. At any time during regular hours of operation, visit and inspect
9 a marijuana establishment, marijuana testing facility or dual licensee to
10 determine if it complies with this chapter and rules adopted pursuant to
11 this chapter. The department shall make at least one unannounced visit
12 annually to each facility licensed pursuant to this chapter.

13 4. Adopt any other rules that are not expressly stated in this
14 section and that are necessary to ensure the safe and responsible
15 cultivation, sale, processing, manufacture, testing and transport of
16 marijuana and marijuana products.

17 C. Until the department adopts rules allowing and regulating
18 delivery by marijuana establishments pursuant to subsection D of this
19 section, delivery is unlawful under this chapter.

20 D. On or after January 1, 2023, the department may, and not later
21 than January 1, 2025 the department shall, adopt rules to allow and
22 regulate delivery by marijuana establishments. The rules shall:

23 1. Require that delivery and the marijuana and marijuana products
24 to be delivered originate from a designated retail location of a marijuana
25 establishment and only after an order is made with the marijuana
26 establishment by a consumer. The rules may not limit the distance between
27 the delivery location and the originating designated retail location of
28 the marijuana establishment.

29 2. Prohibit delivery to any property owned or leased by the United
30 States, this state, a political subdivision of this state or the Arizona
31 board of regents.

32 3. Limit the amount of marijuana and marijuana products based on
33 retail price that may be in a delivery vehicle during a single trip from
34 the designated retail location of a marijuana establishment.

35 4. Prohibit extra or unallocated marijuana or marijuana products in
36 delivery vehicles.

37 5. Require that deliveries be made only by marijuana facility
38 agents in unmarked vehicles that are equipped with a global positioning
39 system or similar location tracking system and video surveillance and
40 recording equipment, and that contain a locked compartment in which
41 marijuana and marijuana products must be stored. The rules may not limit
42 the number of vehicles that a marijuana establishment may use for
43 delivery.

44 6. Require delivery logs necessary to ensure compliance with this
45 subsection and rules adopted pursuant to this subsection.

46 7. Require inspections to ensure compliance with this subsection
47 and rules adopted pursuant to this subsection.

1 8. Include any other provisions necessary to ensure safe and
2 restricted delivery.

3 9. Require dual licensees to comply with the rules adopted pursuant
4 to this subsection.

5 E. Except as provided in subsection D of this section, the
6 department may not allow delivery of marijuana or marijuana products under
7 this chapter by any individual or entity. In addition to any other
8 penalty imposed by law, an individual or entity that delivers marijuana or
9 marijuana products in a manner that is not authorized by this chapter
10 shall pay a civil penalty of \$20,000 per violation to the smart and safe
11 Arizona fund established by section 36-2856. This subsection may be
12 enforced by the attorney general.

13 F. All rules adopted by the department pursuant to this section
14 shall be consistent with the purpose of this chapter.

15 G. The department may not adopt any rule that:

16 1. Prohibits the operation of marijuana establishments OR MARIJUANA
17 PRODUCERS, either expressly or through requirements that make the
18 operation of a marijuana establishment OR MARIJUANA PRODUCER unduly
19 burdensome.

20 2. Prohibits or interferes with the ability of a dual licensee to
21 operate a marijuana establishment and a nonprofit medical marijuana
22 dispensary at shared locations.

23 H. Notwithstanding section 41-192, the department may employ legal
24 counsel and make an expenditure or incur an indebtedness for legal
25 services for the purposes of:

26 1. Defending this chapter or rules adopted pursuant to this
27 chapter.

28 2. Defending chapter 28.1 of this title or rules adopted pursuant
29 to chapter 28.1 of this title.

30 I. The department shall deposit all license fees, application fees
31 and renewal fees paid to the department pursuant to this chapter in the
32 smart and safe Arizona fund established by section 36-2856.

33 J. On request, the department of health services shall share with
34 the department of revenue information regarding a marijuana establishment,
35 marijuana testing facility or dual licensee, including its name, physical
36 address, cultivation site and transaction privilege tax license number.

37 K. Notwithstanding any other law, the department may:

38 1. License an independent third-party laboratory to also operate as
39 a marijuana testing facility.

40 2. Operate a marijuana testing facility.

41 L. The department shall maintain and publish a current list of all
42 marijuana establishments, MARIJUANA PRODUCERS and marijuana testing
43 facilities by name and license number.

44 M. Notwithstanding any other law, the issuance of an occupational,
45 professional or other regulatory license or certification to a person by a
46 jurisdiction or regulatory authority outside this state does not entitle
47 that person to be issued a marijuana establishment license, a marijuana

1 testing facility license, or any other license, registration or
2 certification under this chapter.

3 N. Until the department adopts rules as required by subsection A,
4 paragraph 10 of this section:

5 1. A marijuana testing facility is prohibited from having any
6 direct or indirect familial relationship with or financial ownership
7 interest in a marijuana establishment, MARIJUANA PRODUCER or related
8 marijuana business entity or management company.

9 2. A marijuana establishment OR MARIJUANA PRODUCER is prohibited
10 from having any direct or indirect familial relationship with or financial
11 ownership interest in a marijuana testing facility or related marijuana
12 business entity or management company.

13 Sec. 3. Subject to the requirements of article IV, part 1, section
14 1, Constitution of Arizona, section 36-2857, Arizona Revised Statutes, is
15 amended to read:

16 36-2857. Localities: marijuana establishments, marijuana
17 producers and marijuana testing facilities

18 A. A locality may:

19 1. Enact reasonable zoning regulations that limit the use of land
20 for marijuana establishments, MARIJUANA PRODUCERS and marijuana testing
21 facilities to specified areas.

22 2. Limit the number of marijuana establishments, MARIJUANA
23 PRODUCERS or marijuana testing facilities, or ~~both~~ ANY COMBINATION
24 THEREOF.

25 3. Prohibit marijuana establishments, MARIJUANA PRODUCERS or
26 marijuana testing facilities, or ~~both~~ ANY COMBINATION THEREOF.

27 4. Regulate the time, place and manner of marijuana establishment,
28 MARIJUANA PRODUCER and marijuana testing facility operations.

29 5. Establish reasonable restrictions on public signage regarding
30 marijuana, marijuana establishments, MARIJUANA PRODUCERS and marijuana
31 testing facilities.

32 6. Prohibit or restrict delivery within ~~its~~ THE LOCALITY'S
33 jurisdiction.

34 B. A county may exercise its authority pursuant to subsection A of
35 this section only in unincorporated areas of the county.

36 C. A locality may not enact any ordinance, regulation or rule that:

37 1. Is more restrictive than a comparable ordinance, regulation or
38 rule that applies to nonprofit medical marijuana dispensaries.

39 2. Makes the operation of a marijuana establishment, MARIJUANA
40 PRODUCER or marijuana testing facility unduly burdensome if the locality
41 has not prohibited marijuana establishments, MARIJUANA PRODUCERS or
42 marijuana testing facilities.

43 3. Conflicts with this chapter or rules adopted pursuant to this
44 chapter.

45 4. Prohibits the transportation of marijuana by a marijuana
46 establishment, MARIJUANA PRODUCER or marijuana testing facility on public
47 roads.

1 5. Restricts or interferes with the ability of a dual licensee or
2 an entity eligible to become a dual licensee to operate a nonprofit
3 medical marijuana dispensary and a marijuana establishment cooperatively
4 at shared locations.

5 6. Except as expressly authorized by this section or section
6 36-2851, prohibits or restricts any conduct or transaction allowed by this
7 chapter, or imposes any liability or penalty in addition to that
8 prescribed by this chapter for any conduct or transaction constituting a
9 violation of this chapter.

10 7. Allows a marijuana establishment to locate within five hundred
11 feet of a public or private school, a child care facility or a facility
12 that provides preschool programs.

13 Sec. 4. Subject to the requirements of article IV, part 1,
14 section 1, Constitution of Arizona, section 36-2858, Arizona Revised
15 Statutes, is amended to read:

16 36-2858. Lawful operation of marijuana establishments,
17 marijuana producers and marijuana testing
18 facilities

19 A. Except as specifically and expressly provided in section 36-2857
20 and notwithstanding any other law, it is lawful and is not an offense
21 under the laws of this state or any locality, may not constitute the basis
22 for detention, search or arrest, and may not constitute the sole basis for
23 seizure or forfeiture of assets or the basis for imposing penalties under
24 the laws of this state or any locality for:

25 1. A marijuana establishment, or an agent acting on behalf of a
26 marijuana establishment, to:

27 (a) Possess marijuana or marijuana products.

28 (b) Purchase, sell or transport marijuana and marijuana products to
29 or from a marijuana establishment OR MARIJUANA PRODUCER.

30 (c) Sell marijuana and marijuana products to consumers, except that
31 a marijuana establishment may not sell more than one ounce of marijuana to
32 a consumer in a single transaction, not more than five grams of which may
33 be in the form of marijuana concentrate.

34 (d) Cultivate, produce, test or process marijuana or manufacture
35 marijuana or marijuana products by any means, including chemical
36 extraction or chemical synthesis.

37 2. An agent acting on behalf of a marijuana establishment to sell
38 or otherwise transfer marijuana to an individual under twenty-one years of
39 age, if the agent reasonably verified that the individual appeared to be
40 twenty-one years of age or older by means of a government-issued
41 photographic identification in compliance with rules adopted pursuant to
42 section 36-2854, subsection A, paragraph 6.

43 3. A MARIJUANA PRODUCER, OR AN AGENT ACTING ON BEHALF OF A
44 MARIJUANA PRODUCER, TO:

45 (a) POSSESS MARIJUANA OR MARIJUANA PRODUCTS.

46 (b) PURCHASE, SELL OR TRANSPORT MARIJUANA AND MARIJUANA PRODUCTS TO
47 OR FROM A MARIJUANA ESTABLISHMENT OR MARIJUANA PRODUCER.

1 (c) CULTIVATE, PRODUCE, TEST OR PROCESS MARIJUANA OR MARIJUANA
2 PRODUCTS BY ANY MEANS, INCLUDING CHEMICAL EXTRACTION OR CHEMICAL
3 SYNTHESIS.

4 ~~3-~~ 4. A marijuana testing facility, or an agent acting on behalf
5 of a marijuana testing facility, to obtain, possess, process, repackage,
6 transfer, transport or test marijuana and marijuana products.

7 ~~4-~~ 5. A nonprofit medical marijuana dispensary or a marijuana
8 establishment, or an agent acting on behalf of a nonprofit medical
9 marijuana dispensary or a marijuana establishment, to sell or otherwise
10 transfer marijuana or marijuana products to a nonprofit medical marijuana
11 dispensary, a marijuana establishment or an agent acting on behalf of a
12 nonprofit medical marijuana dispensary or a marijuana establishment.

13 ~~5-~~ 6. Any individual, corporation or other entity to sell, lease
14 or otherwise allow property or goods that are owned, managed or controlled
15 by the individual, corporation or other entity to be used for any activity
16 authorized by this chapter, or to provide services to a marijuana
17 establishment, ~~or~~ or marijuana testing facility, or AN agent acting on
18 behalf of a marijuana establishment or marijuana testing facility, in
19 connection with any activity authorized by this chapter.

20 B. This section does not preclude the department from imposing
21 penalties against a marijuana establishment, MARIJUANA PRODUCER or
22 marijuana testing facility for failing to comply with this chapter or
23 rules adopted pursuant to this chapter.

24 C. A marijuana establishment OR MARIJUANA PRODUCER may be owned or
25 operated by a publicly traded company.

26 D. Notwithstanding any other law, a dual licensee:

27 1. May hold a marijuana establishment license and operate a
28 marijuana establishment pursuant to this chapter.

29 2. May operate on a for-profit basis if the dual licensee promptly
30 notifies the department and department of revenue and takes any actions
31 necessary to enable its for-profit operation, including converting its
32 corporate form and amending its organizational and operating documents.

33 3. Must continue to hold both its marijuana establishment license
34 and nonprofit medical marijuana dispensary registration, regardless of any
35 change in ownership of the dual licensee, unless it terminates its status
36 as a dual licensee and forfeits either its marijuana establishment license
37 or nonprofit medical marijuana dispensary registration by notifying the
38 department of such a termination and forfeiture.

39 4. Is not required to:

40 (a) Employ or contract with a medical director.

41 (b) Obtain nonprofit medical marijuana dispensary agent or
42 marijuana facility agent registrations for outside vendors that do not
43 have regular, unsupervised access to the interior of the dual licensee's
44 premises.

45 (c) Have a single secure entrance as required by section 36-2806,
46 subsection C, but may be required to implement appropriate security

1 measures to deter and prevent the theft of marijuana and to reasonably
2 regulate customer access to the premises.

3 (d) Comply with any other provision of chapter 28.1 of this title
4 or any rule adopted pursuant to chapter 28.1 of this title that makes its
5 operation as a dual licensee unduly burdensome.

6 E. Notwithstanding any other law, a dual licensee that elects to
7 operate on a for-profit basis pursuant to subsection D, paragraph 2 of
8 this section:

9 1. Is subject to the taxes imposed pursuant to title 43.

10 2. Is not required to submit its annual financial statements or an
11 audit report to the department for purposes of renewing its nonprofit
12 medical marijuana dispensary registration.

13 F. Notwithstanding any other law, a dual licensee must conduct both
14 of the following operations at a shared location:

15 1. Sell marijuana and marijuana products to consumers pursuant to
16 this chapter.

17 2. Dispense marijuana to registered qualifying patients and
18 registered designated caregivers pursuant to chapter 28.1 of this title.

19 G. Notwithstanding chapter 28.1 of this title or any rule adopted
20 pursuant to chapter 28.1 of this title, a dual licensee may engage in any
21 act, practice, conduct or transaction allowed for a marijuana
22 establishment by this chapter.

23 H. Notwithstanding any other law:

24 1. An individual may be an applicant, principal officer or board
25 member of more than one marijuana establishment or more than one dual
26 licensee regardless of the establishment's location.

27 2. Two or more marijuana establishments, **MARIJUANA PRODUCERS** or
28 dual licensees may designate a single off-site location as prescribed in
29 section 36-2850, paragraph 21, subdivision (c) to be jointly used by those
30 dual licensees, **MARIJUANA PRODUCERS** or marijuana establishments.

31 I. Marijuana establishments, **MARIJUANA PRODUCERS**, marijuana testing
32 facilities and dual licensees that are subject to applicable federal or
33 state antidiscrimination laws may not pay their employees differently
34 based solely on a protected class status such as sex, race, color,
35 religion, national origin, age or disability. This subsection does not
36 expand or modify the jurisdictional reach, provisions or requirements of
37 any applicable antidiscrimination law.

38 Sec. 5. Subject to the requirements of article IV, part 1,
39 section 1, Constitution of Arizona, section 36-2859, Arizona Revised
40 Statutes, is amended to read:

41 36-2859. Advertising; restrictions; warning; enforcement;
42 civil penalty; exception

43 A. A marijuana establishment, **MARIJUANA PRODUCER** or nonprofit
44 medical marijuana dispensary may advertise or authorize advertising for
45 marijuana or marijuana products in accordance with restrictions imposed by
46 this section.

1 B. An individual or entity that sells marijuana paraphernalia may
2 advertise or authorize advertising for marijuana paraphernalia in
3 accordance with restrictions imposed by this section.

4 C. A marijuana establishment, a nonprofit medical marijuana
5 dispensary or an individual or entity that sells marijuana paraphernalia
6 may engage in advertising but may not do any of the following:

7 1. Advertise marijuana or marijuana products, including marijuana
8 paraphernalia, to individuals who are under twenty-one years of age,
9 including advertising:

10 (a) With names that resemble or imitate food or drink brands that
11 are marketed to children.

12 (b) With images or likenesses of toys, cartoons or animated or
13 fictional characters, including Santa Claus, that are designed to appeal
14 to or encourage individuals who are under twenty-one years of age to
15 consume marijuana or marijuana products.

16 (c) With images or visual representations of the consumption of
17 marijuana or marijuana products.

18 (d) With the potency or tetrahydrocannabinol levels of the
19 marijuana or marijuana product.

20 (e) In a medium that specifically appeals to individuals who are
21 under twenty-one years of age such that the advertising has a special
22 attractiveness to individuals who are under twenty-one years of age beyond
23 general attractiveness for individuals who are at least twenty-one years
24 of age.

25 2. Advertise at, on or within public airports, public
26 transportation shelters, public buses, public trains, public shuttles or
27 public trams.

28 3. Advertise electronically, via social media or on a website,
29 unless at least 73.6 percent of the audience is expected to be at least
30 twenty-one years of age.

31 4. Advertise any health-related statement or statement regarding
32 the effects of marijuana consumption on health that is known to be untrue.

33 5. Sponsor any sporting event unless at least 73.6 percent of the
34 audience is expected to be at least twenty-one years of age or the
35 sponsored organization provides written approval. Any sponsorship
36 acknowledgment shall be in accordance with restrictions imposed by this
37 section.

38 D. All advertising pursuant to this section must contain the
39 following conspicuous and legible warning: "Do not use marijuana if you
40 are under twenty-one years of age or pregnant. Keep marijuana out of
41 reach of children." All printed warnings must occupy at least ten percent
42 of the advertising area and must be in black font on a white background,
43 except that billboard advertisement warnings shall be in a type size that
44 is at least ten percent of the largest type used in the advertisement.

45 E. A billboard advertisement under this section is prohibited
46 within one thousand radial feet of any child care center, church,
47 substance abuse recovery facility, public park, public playground or

1 public or private school that provides instruction to students in
2 preschool or kindergarten programs or any of grades one through twelve.
3 An individual or entity that violates this subsection, on notification by
4 the attorney general's office, has thirty days to comply with these
5 requirements. For circumstances beyond the control of the billboard
6 operator that may prevent removal within the prescribed time frame, the
7 advertisement must be removed as soon as safely and legally
8 practicable. An individual or entity that does not comply with this
9 subsection is subject to the civil penalties and disciplinary action
10 prescribed in this section.

11 F. An advertising platform may host advertising only if all of the
12 following apply:

13 1. The advertising is authorized by a marijuana establishment,
14 MARIJUANA PRODUCER or nonprofit medical marijuana dispensary.

15 2. The advertising accurately and legibly identifies the marijuana
16 establishment, MARIJUANA PRODUCER or nonprofit medical marijuana
17 dispensary responsible for the content of the advertising by name and
18 license number or registration number.

19 3. The advertising contains a printed warning that complies with
20 subsection D of this section.

21 G. Any advertising under this chapter involving direct,
22 individualized communication or dialogue shall use a method of age
23 affirmation to verify that the recipient is at least twenty-one years of
24 age before engaging in that communication or dialogue. For the purposes
25 of this subsection, that method of age affirmation may include user
26 confirmation, birth date disclosure or other similar registration methods.

27 H. It is unlawful for an individual or entity other than a
28 marijuana establishment or dual licensee to do any of the following in a
29 manner that is not authorized by this chapter or rules adopted by the
30 department pursuant to this chapter:

31 1. Facilitate the delivery of marijuana or marijuana products.

32 2. Solicit or accept orders for marijuana or marijuana products or
33 operate a platform that solicits or accepts orders for marijuana or
34 marijuana products.

35 3. Operate a listing service related to the sale or delivery of
36 marijuana or marijuana products.

37 I. A marijuana establishment, a nonprofit medical marijuana
38 dispensary or an individual or entity that sells marijuana paraphernalia
39 and that violates this section, on notification by the department or
40 attorney general's office, has fourteen days to comply with the
41 requirements of this section.

42 J. A marijuana establishment OR MARIJUANA PRODUCER that is found to
43 be in violation of this section by the attorney general is subject to
44 disciplinary action by the department pursuant to section 36-2854,
45 subsection B. A nonprofit medical marijuana dispensary that is found to
46 be in violation of this section by the attorney general is subject to
47 disciplinary action by the department pursuant to section 36-2816.

1 K. In addition to any other penalty imposed by law, an individual
2 or entity other than a marijuana establishment, **MARIJUANA PRODUCER** or
3 nonprofit medical marijuana dispensary that advertises marijuana or
4 marijuana products, including marijuana paraphernalia, in violation of
5 this section or otherwise violates this section shall pay a civil penalty
6 of \$20,000 per violation to the smart and safe Arizona fund established by
7 section 36-2856.

8 L. This section shall be enforced by the attorney general.

9 M. For the purposes of this section, advertising does not include a
10 communication of a marijuana establishment or nonprofit medical marijuana
11 dispensary that is targeted only to the established customer base or that
12 is requested by a customer or potential customer pursuant to an opt-in
13 with an age affirmation.

14 Sec. 6. Subject to the requirements of article IV, part 1,
15 section 1, Constitution of Arizona, section 36-2860, Arizona Revised
16 Statutes, is amended to read:

17 36-2860. Packaging; restrictions on particular marijuana
18 products

19 A. A marijuana establishment **OR MARIJUANA PRODUCER** may not:

20 1. Package or label marijuana or marijuana products in a false or
21 misleading manner.

22 2. Manufacture or sell marijuana products that resemble the form of
23 a human, animal, insect, fruit, toy or cartoon.

24 3. Sell or advertise marijuana or marijuana products with names
25 that resemble or imitate food or drink brands marketed to children, ~~or~~ or
26 otherwise advertise marijuana or marijuana products to children.

27 B. A marijuana establishment **OR MARIJUANA PRODUCER** that violates
28 this section is subject to disciplinary action by the department pursuant
29 to section 36-2854, subsection B.

30 Sec. 7. Subject to the requirements of article IV, part 1,
31 section 1, Constitution of Arizona, section 36-2861, Arizona Revised
32 Statutes, is amended to read:

33 36-2861. Contracts; professional services

34 A. It is the public policy of this state that contracts related
35 to marijuana establishments, **MARIJUANA PRODUCERS** and marijuana testing
36 facilities are enforceable.

37 B. A person that is licensed, certified or registered by any
38 department, agency or regulatory board of this state is not subject to
39 disciplinary action by that entity for providing professional assistance
40 to a prospective or ~~registered~~ **LICENSED** marijuana establishment,
41 **MARIJUANA PRODUCER**, marijuana testing facility or other person for any
42 lawful activity under this chapter.

43 Sec. 8. Subject to the requirements of article IV, part 1,
44 section 1, Constitution of Arizona, section 36-2864, Arizona Revised
45 Statutes, is amended to read:

46 36-2864. Transaction privilege tax; use tax; additional taxes
47 prohibited; exception

1 A. For **THE** purposes of the transaction privilege tax and use tax
2 levied and collected pursuant to title 42, chapters 5 and 6, marijuana and
3 marijuana products are tangible personal property **AS** defined in section
4 42-5001 and are subject to the transaction privilege tax in the retail
5 classification and use tax.

6 B. Except as provided in subsection A of this section and section
7 42-5452, this state and localities may not levy or collect additional
8 taxes of any kind on the sale of marijuana or marijuana products and may
9 not levy or collect any fees or assessments of any kind on the sale of
10 marijuana or marijuana products or on the licensing, operations or
11 activities of marijuana establishments, **MARIJUANA PRODUCERS** or marijuana
12 testing facilities, unless the fee or assessment is of general
13 applicability to individuals or businesses that are not engaged in the
14 sale of marijuana or marijuana products.

15 C. The prohibition imposed by subsection B of this section does not
16 apply to uniform increases to the transaction privilege tax rate for the
17 retail classification or use tax rate by this state or a locality or to
18 uniform increases to fees or assessments allowed by subsection B of this
19 section.

20 Sec. 9. Subject to the requirements of article IV, part 1,
21 section 1, Constitution of Arizona, section 36-2865, Arizona Revised
22 Statutes, is amended to read:

23 **36-2865. Enforcement of chapter; special action**

24 A. If the department fails to adopt rules necessary to implement
25 this chapter on or before June 1, 2021, or fails to begin accepting
26 applications as provided in section 36-2854, subsection A, paragraph 1,
27 subdivision (d), any citizen may commence a special action in superior
28 court to compel the department to perform the actions mandated under this
29 chapter.

30 B. If the department fails to issue a license or send a notice of
31 denial within sixty days after receiving a complete marijuana
32 establishment application pursuant to section 36-2854, subsection A,
33 paragraph 1, subdivision (d), the applicant may commence a special action
34 in superior court to compel the department to perform the actions mandated
35 under this chapter.

36 C. Notwithstanding chapter 28.1 of this title, if the department
37 fails to issue any marijuana establishment licenses pursuant to section
38 36-2854, subsection A, paragraph 1, subdivision (d) on or before April 5,
39 2021, each nonprofit medical marijuana dispensary in good standing may
40 begin to cultivate, produce, process, manufacture, transport and test
41 marijuana and marijuana products and may sell marijuana and marijuana
42 products to consumers until the department issues licenses to operate
43 marijuana establishments. If this occurs, nonprofit medical marijuana
44 dispensaries in good standing shall:

45 1. Be treated as marijuana establishments for all purposes under
46 this chapter, and their nonprofit medical marijuana establishment agents

1 shall be treated as marijuana facility agents for all purposes under this
2 chapter.

3 2. Comply with the rules adopted by the department to implement
4 chapter 28.1 of this title, except those that are inconsistent with this
5 chapter.

6 D. IF THE DEPARTMENT FAILS TO BEGIN ACCEPTING APPLICATIONS AS
7 PROVIDED IN SECTION 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g),
8 ANY CITIZEN MAY COMMENCE A SPECIAL ACTION IN SUPERIOR COURT TO COMPEL THE
9 DEPARTMENT TO PERFORM THE REQUIRED ACTIONS.

10 Sec. 10. Requirements for enactment; three-fourths vote

11 Pursuant to article IV, part 1, section 1, Constitution of Arizona,
12 sections 36-2850, 36-2854, 36-2857, 36-2858, 36-2859, 36-2860, 36-2861,
13 36-2864 and 36-2865, Arizona Revised Statutes, as amended by this act, are
14 effective only on the affirmative vote of at least three-fourths of the
15 members of each house of the legislature.

16 Enroll and engross to conform

17 Amend title to conform

KEVIN PAYNE

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